

1. PURPOSE AND SCOPE

- 1.1. This procedure outlines the process to be followed when ASI conducts traceability activities to trace the origin and volumes of certified material along the supply chain and to verify the correctness of certification claims regarding Scheme Owner (SO) Requirements.
- 1.2. This procedure is applicable to all traceability activities performed by ASI.

2. TERMS AND DEFINITIONS

- 2.1. All terms and definitions, where not defined below, are provided in the ASI Glossary (ASI-INF-20-100).
 - 2.1.1. **Traceability:** ability to track a product as it moves along the supply chain, from the procurement of the raw materials, through all processing phases, until it reaches the end customer.
 - 2.1.2. **Transaction Verification (TV):** process to verify that certification input and output claims for materials produced or traded by Certificate Holders (CHs) are accurate and match the claims of their respective trading partners.
 - 2.1.3. **TV Investigations:** method used by ASI to scrutinize high-risk supply chains or reported Incidents to ensure the SO's credibility and market reputation. It includes the analysis of transaction data obtained from CHs in a supply chain over a specific period. ASI either investigates by itself or requests CABs for support to investigate their clients. TV investigations can be either:
 - **Risk-based TV Investigations:** have a broad scope, e.g. a supply chain or species deemed as high risk by the SO, stakeholders and/or ASI. These are referred to as TV loops.
 - **Targeted TV investigations:** have a narrow scope, e.g. a subset of a supply chain or a set of CHs involved in an incident reported to ASI.
 - 2.1.4. **TV Loop:** process of transaction data collection, analysis and investigation conducted using the ASI TV Tool for a specific supply chain and a defined sample of CABs and CHs. There may be more than one loop, covering different time periods of TV for the same sample of products and CHs.
 - 2.1.5. **TV Tool:** the ASI transaction matching tool. Transaction data uploaded to the system is automatically matched with other transactions of the specified period in the current TV loop to identify imbalances in declared volume inputs and outputs. Reports are generated which ASI uses to follow up with companies with mismatches and potential false claims.

3. TRANSACTION VERIFICATION INVESTIGATIONS

- 3.1. TV Investigations, depending on their type, shall be agreed and determined as follows:
 - 3.1.1. Risk-based TV investigations (TV loops) are determined between ASI and the SO.
 - 3.1.2. Targeted TV investigations are determined by ASI.
- 3.2. TV loops conducted by ASI are pursuant to the following steps: 1) risk identification and launch, 2) announcement, 3) data reporting, 4) data analysis, and 5) investigation (see Figure 1 at the end of the procedure).
 - 3.2.1. Risk identification and launch of a TV loop: ASI reserves the right to include CABs and CHs in a TV loop according to the risk identified by ASI or by ASI and the SO.
 - 3.2.2. Announcement: ASI shall announce the launching of a TV loop to all participating CABs via the CAB Connect Platform and/or via email. The announcement shall contain:
 - 3.2.2.1. a list of the relevant CHs for each CAB, which shall only be visible to the relevant CAB,
 - 3.2.2.2. a spreadsheet for the data collection (TV datasheet),
 - 3.2.2.3. the timeline for CABs to collect the information from its CHs, and
 - 3.2.2.4. a manual with instructions (CAB TV Manual).
 - 3.2.3. Data reporting
 - 3.2.3.1. CABs shall collect the information requested by ASI about certified transactions from their CHs using the TV datasheet provided by ASI.
 - 3.2.3.2. CABs shall upload the TV datasheets to ASI's TV tool using the CAB Connect Platform.
 - 3.2.4. Data analysis
 - 3.2.4.1. ASI shall check if the provided data is complete.
 - 3.2.4.2. ASI shall identify errors in the data to the best of its ability.
 - 3.2.4.3. ASI may request CABs to correct the data and resend it.
 - 3.2.4.4. CABs shall correct the data or ask their CHs to correct the data and resend it to ASI via the means specified in the request and within the specified deadlines (e.g., CAB Connect Platform).
 - 3.2.5. Investigation: ASI reserves the right to include CABs and CHs in the investigation at its discretion based on the results of the data analysis.
 - 3.2.6. TV loops with no CAB involvement
 - 3.2.6.1. ASI may approach the CHs directly in cases where the SO has appointed ASI as the designated agent to act on their behalf.
 - 3.2.6.2. CHs shall collaborate with ASI by submitting information and documentation related to the TV investigation in a timely manner, as specified in ASI's TV request to the CH.
- 3.3. Targeted TV Investigations do not follow the steps outlined in clause 3.2. For these, ASI reserves the right to design the steps on a case-by-case basis and may request data and documentation from CABs without prior steps (e.g., launching, announcement).

3.4. Methods and Tools

- 3.4.1. ASI reserves the right to select the certificate sample size for TV Investigations. This may be done in agreement with the SO and is based on the geographic, species, and product scopes that are indicative of the integrity risk aimed to be assessed.
- 3.4.2. TV Investigations may be conducted through desk investigations.
- 3.4.3. TV Investigations may be conducted using technological solutions (e.g., ASI TV tool).
- 3.4.4. TV Investigations may involve all types of ASI Assessments.
- 3.4.5. TV Investigations may involve the collection of material samples and product testing.
- 3.4.6. TV Investigation may involve the collection of information from any source ASI considers relevant.
- 3.4.7. Data related to TV investigations may be entered into the ASI incident management system and handled in line with the Incident Handling Procedure (ASI-PRO-20-107).

3.5. Evidence documentation

- 3.5.1. Evidence documentation from CHs and CABs may be collected by ASI to investigate false claims or other non-conformances with ASI or SO requirements.
- 3.5.2. Documentation to be collected from CABs may include, but is not limited to, CH audit reports and information about business relationships.
- 3.5.3. CABs shall collect specific documentation from their CHs and share it with ASI, as specified in ASI's request to the CAB.
- 3.5.4. Documentation to be collected from CHs may include, but is not limited to, volume summaries, stock inventories, purchase and sales invoices, storage receipts, and/or bills of lading.
- 3.5.5. Documentation for non-certified transactions shall be provided to ASI upon request, in accordance with relevant SO requirements.

3.6. Outcomes of TV Investigations

- 3.6.1. ASI may take follow up actions to verify information discovered during investigations based on identified risks.
- 3.6.2. Closed TV Investigations remain part of ASI's intelligence and conclusions may be used for future reference.
- 3.6.3. As a result of TV Investigations, ASI may take extraordinary actions within their authority to safeguard the credibility of ASI.
- 3.6.4. As a result of TV Investigations, the SO may take extraordinary actions within their authority to safeguard their credibility.

3.7. Communication of outcomes

- 3.7.1. ASI shall make the outcomes of a TV Investigation available to the relevant SO when the investigation is closed.
- 3.7.2. ASI may report partial results to the SO before the investigation is closed.
- 3.7.3. ASI is not required to notify CABs, CHs, or other entities about the results of a TV Investigation.
- 3.7.4. CABs may request information about a TV Investigation that concerns the CAB or their CH. ASI reserves the right to determine the level and type of information presented to the CAB on a case-by-case basis or to deny information related to the

TV Investigation if it would compromise confidentiality, and/or the success of ASI follow-up activities related to the investigation.

- 3.7.5. ASI reserves the right to publish a summary of a TV Investigation on the ASI website. The summary shall not include information about transaction data and may only include the names and codes of sanctioned CHs if this information was already made public by the SO.

3.8. Obligations and sanctions

- 3.8.1. ASI shall communicate to the CAB the timeline to collect data or documentation from its clients via the CAB Connect Platform or via email.
- 3.8.2. CABs shall collaborate with ASI by collecting, analyzing, and/or submitting data, information and/or documentation related to the TV investigation in a timely manner, as specified in ASI's request to the CAB.
- 3.8.3. CABs shall submit documents belonging to them (e.g., audit reports) within 7 calendar days of the date they received the request from ASI and client documents (e.g., invoices) within 14 calendar days of the date they received the request from ASI, unless otherwise specified in the request to CAB.
- Note: The timeline may vary and will be determined with consideration of the complexity of the request, the number of CHs required to submit data and the time of year (e.g., major holidays in affected regions).
- 3.8.4. Failure to provide TV data or documentation within the deadlines specified without acceptable justification shall result in a Sanction, in line with the Accreditation (ASI-PRO-20-101) and Approval (ASI-PRO-20-258) procedures.
- 3.8.5. CABs shall apply consequences to their CHs according to their procedures if CHs do not provide their data or documentation in a timely manner.

3.9. Confidentiality

- 3.9.1. The data shared by CHs and CABs shall be kept confidential, shall not be shared outside of ASI and the SO and shall not be made publicly available.
- 3.9.2. When collecting TV data, ASI shall respect the rules established within the ASI Privacy Policy (ASI-POL-20-100) and clarified in the Data Handling and Protection FAQ.

3.10. Costs

- 3.10.1. The costs related to ASI's Risk-based TV Investigations (TV loops) requested by the SO shall be covered by the SO.
- Note: In case ASI decides to conduct a TV loop without a request from the SO, ASI shall cover the costs
- 3.10.2. The costs related to ASI's Targeted TV investigations shall be covered either by the SO or by the Annual Service Fee (ASF). See Incident Handling Procedure (ASI-PRO-20-107) for further details.
- 3.10.3. ASI may conduct Assessments triggered by TV Investigations. Depending on the rationale, CABs may have to cover the costs and related expenses. ASI should attempt to use CAB's regular Assessment plan to avoid extra costs, however, in some instances, ASI may decide to invoice an extra Assessment. This decision shall be

justified by ASI. In special cases and by prior agreement, the costs of an extra Assessment shall be covered by the SO.

- 3.10.4. ASI may take product samples as part of TV investigations. The costs related to the product itself shall be borne by the CH. The cost for sample taking and testing shall be covered by the SO and/or ASI.

4. PHYSICAL MATERIAL COLLECTION AND ANALYSIS

- 4.1. ASI and/or the SOs may deem it necessary to physically analyze material for specific characteristics (e.g. species, pollutants, ingredients, origin). This may be done as part of a TV Investigation or as an independent investigation.
- 4.2. ASI Personnel including assessors, facilitators, or others as indicated by ASI may collect samples during Assessments for the purpose described in clause 4.1. The sample selection is at ASI's discretion.
- 4.3. Collected material samples shall be analyzed by a competent, independent laboratory contracted by ASI and/or the SO, under a confidentiality and impartiality agreement.
- 4.4. ASI shall review the results of the analysis and associated data. If inconsistencies are found, additional verification steps may be taken by ASI, i.e. further sampling or data review.
- 4.5. Confidentiality and cost apply as described above.

5. ASSOCIATED DOCUMENTATION

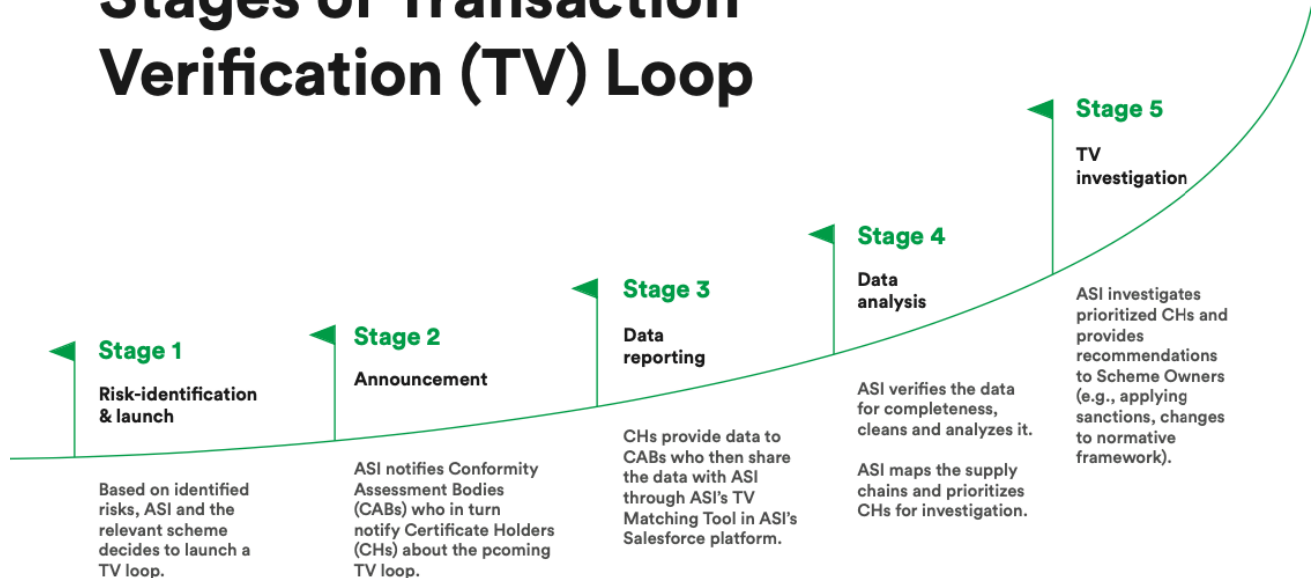
5.1	Standards and Policies	Applicable certification schemes' requirements
5.2	Procedures, Guidelines	ASI-INF-20-100-ASI Glossary ASI-PRO-20-107-Incident Handling Procedure ASI-PRO-20-101-Accreditation ASI-PRO-20-258-Approval ASI-POL-20-100-ASI Privacy Policy Data Handling and Protection FAQ CAB TV Manual
5.3	Checklists, Templates, etc.	Transaction Verification records and files - ASI System

6. CHANGE HISTORY

Version number	Date of approval (Effective date)	Description of changes
3.0	26 June 2024	All sections revised and aligned with ASI current practices. T+F Assessments removed. Annex 1 added. Name of the procedure changed from Traceability and Forensics Procedure to Traceability Procedure.

Figure 1 - Stages of Transaction Verification (TV) Loop

Stages of Transaction Verification (TV) Loop



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